DIPLOMA PROGRAMME PRACTICE / SL / SET A

Economics / Paper 1

Question booklet · 75 minutes · 25 marks

Choose one of the three questions and answer both parts. No calculator is permitted. Use real-world examples in part (b) and fully labelled diagrams where relevant. Write on separate answer paper.

QUESTION 1 / 25 MARKS

Road space at the morning peak

a Explain why an unpriced congested road may carry more journeys than the socially efficient number, even if every driver is willing to pay the private cost of the trip. **[10]**

b Using real-world examples, evaluate whether charging for road use is preferable to subsidising public transport as a way of reducing urban congestion. **[15]**

QUESTION 2 / 25 MARKS

Inflation after an energy shock

a Explain how a rise in imported energy costs can raise the general price level while reducing real output in an energy-importing economy. **[10]**

b Using real-world examples, evaluate a central bank's decision to raise interest rates when an economy faces both cost-push inflation and slowing output. **[15]**

QUESTION 3 / 25 MARKS

Diversifying exports

a Explain why changes in world supply can cause large fluctuations in a primary commodity producer's export earnings when world demand is price inelastic. **[10]**

b Using real-world examples, evaluate whether export diversification is the most effective way to make development less vulnerable to external shocks. **[15]**